

THE INDIAN CONTRACT ACT, 1872

ACT NO. 9 OF 1872

BE IT ENACTED BY PARLIAMENT AS FOLLOWS:

CHAPTER I: OF THE COMMUNICATION, ACCEPTANCE AND REVOCATION OF PROPOSALS

Section 1. Short Title and Extent.- This Act may be called the Indian Contract Act, 1872.

Section 73. Compensation for loss or damage caused by breach of contract.-

When a contract has been broken, the party who suffers by such breach is entitled to receive compensation.

(a) Direct damages naturally arising from breach.

Section 74. Compensation for breach of contract where penalty stipulated for.-

When a contract stipulates a penalty, reasonable compensation not exceeding penalty is recoverable.